5. 9:00 AM CASE NUMBER: C22-02161
CASE NAME: LAKEITHIA JOHNSTON VS. GEORGIA-PACIFIC GYPSUM LLC
HEARING ON MOTION IN RE: COMPLIANCE HEARING OF CLASS SETTLEMENT SET BY THE COURTROOM
FILED BY:
TENTATIVE RULING:
Summary

This Compliance Hearing was set by the Court to determine compliance with the Court's Order re Final Approval of Class Action settlement filed on August 12, 2025.

Upon review of the declaration filed by Madely Nava of Apex Class Action certifying disbursement filed on June 30, 2026, the Court determines that Plaintiff has complied with the Court's order.

Good cause appearing, the Court makes the following orders:

1. The Court orders the release of the 5% retention of attorney's fees in the amount of $15,833,30 to Plaintiff's Counsel. The Class Action Administrator shall release said fees no later than ten (10) days from the date of this Order.
2. The Court orders Plaintiff's Counsel to prepare final judgment and Notice of Entry of Judgment of this matter.
3. No appearance is required at the hearing on July 15, 2026.

6. 9:00 AM CASE NUMBER: C22-02261
CASE NAME: MICHAEL GONZALES VS. MECHANICS BANK
HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT
FILED BY: GONZALES, MICHAEL
TENTATIVE RULING:
Summary
Plaintiffs Michael Gonzales and Nicole Burton ("Plaintiffs"), on behalf of themselves and all persons similarly situated, filed a Motion for Preliminary Approval of Class Action and PAGA Settlement with Defendant Mechanics Bank ("Defendant"). The motion is unopposed and is **granted** as set forth herein. No appearance is required at the hearing on July 15, 2026, provided counsel complies with the orders herein.

Background
Plaintiffs request that the Court grant preliminary approval of the Settlement and conditionally certify the Settlement Class pursuant to the terms set forth in the Stipulation of Settlement of Class and PAGA Action Claims and Release of Claims. The Settlement Class is defined as all non-exempt employees who are or previously were employed by Defendant Mechanics Bank and/or Rabobank, N.A. as direct employees and performed work in California during the period from October 20, 2018, to November 12, 2024. The Class excludes any non-exempt employees who previously entered into settlement or severance agreements with Defendant and/or Rabobank, N.A. that cover the entirety of the Class Period. The Class consists of approximately 2,280 Class Members. Plaintiffs request that the

Court confirm Michael Gonzales and Nicole Burton as the Class Representatives and appoint JCL Law Firm, APC, Zakay Law Group, APLC, and Ebrahimian & Lavi, LLP as Class Counsel.

The proposed total Gross Settlement Amount is Three Million Fifty Thousand Dollars and Zero Cents ($3,050,000.00), which is non-reversionary. From this amount, the following deductions shall be made prior to distribution to Settlement Class Members:

(a) Attorneys' fees in an amount not to exceed one-third of the Gross Settlement Amount, currently estimated at One Million Sixteen Thousand Six Hundred Sixty-Six Dollars and Sixty-Seven Cents ($1,016,666.67);
(b) Litigation costs and expenses not to exceed Forty-Five Thousand Dollars and Zero Cents ($45,000.00);
(c) Class Representative service awards of not more than Ten Thousand Dollars and Zero Cents ($10,000.00) to each Plaintiff, for a total not to exceed Twenty Thousand Dollars and Zero Cents ($20,000.00);
(d) PAGA Payment of One Hundred Fifty Thousand Dollars and Zero Cents ($150,000.00); and
(e) Settlement Administration Costs not to exceed Seventeen Thousand One Hundred Dollars and Zero Cents ($17,100.00). Defendant shall separately pay its share of employer payroll taxes.

Plaintiffs request that the Court preliminarily approve Class Representative service awards of not more than Ten Thousand Dollars and Zero Cents ($10,000.00) each to Plaintiffs Michael Gonzales and Nicole Burton, for a total not to exceed Twenty Thousand Dollars and Zero Cents ($20,000.00), in recognition of their efforts and risks in assisting with the prosecution of this action. These awards represent fair compensation for the time, effort, and risk undertaken by the Class Representatives in pursuing this litigation on behalf of the Class.

Plaintiffs request that the Court award Class Counsel attorneys' fees in an amount not to exceed one-third of the Gross Settlement Amount, currently estimated at One Million Sixteen Thousand Six Hundred Sixty-Six Dollars and Sixty-Seven Cents ($1,016,666.67), and reimbursement of litigation costs and expenses not to exceed Forty-Five Thousand Dollars and Zero Cents ($45,000.00), both to be paid from the Gross Settlement Amount. Plaintiffs request that the Court find that the fee request, representing one-third of the Gross Settlement Amount, falls within the range of reasonableness for common fund class actions, subject to final approval following review of the lodestar cross-check and any objections.

Plaintiffs request that the Court approve a PAGA Payment of One Hundred Fifty Thousand Dollars and Zero Cents ($150,000.00) to be allocated from the Gross Settlement Amount for settlement of claims for civil penalties under the Private Attorneys General Act of 2004. Seventy-five percent (75%) of the PAGA Payment ($112,500.00) shall be paid to the Labor and Workforce Development Agency, and twenty-five percent (25%) of the PAGA Payment ($37,500.00) shall be distributed to the Aggrieved Employees. The Aggrieved Employees are defined as all non-exempt employees who are or previously were employed by Defendant and/or Rabobank, N.A. as direct employees and performed work in California during the PAGA Period from March 7, 2023, to November 12, 2024. Plaintiffs request that the Court appoint Apex Class Action LLC as the Settlement Administrator and approve administration costs not to exceed Seventeen Thousand One Hundred Dollars and Zero Cents ($17,100.00).

The Net Settlement Amount of approximately One Million Eight Hundred One Thousand Two Hundred Thirty-Three Dollars and Thirty-Three Cents ($1,801,233.33) shall be allocated to all Settlement Class Members on a pro-rata basis according to the number of workweeks each Settlement Class Member worked during the Class Period, resulting in an estimated average Individual Settlement Payment of Seven Hundred Ninety Dollars and One Cent ($790.01). Defendant shall fund the Gross Settlement Amount in one lump sum payment within thirty (30) calendar days after the Effective Date. Within fifteen (15) calendar days after the funding date, the Settlement Administrator shall pay all Individual Settlement Payments, the PAGA Payment, the Settlement Administration Costs, Attorneys' Fees, Attorneys' Expenses, and the Class Representative Service Awards, as determined by the Court at the Final Approval Hearing.

Participating Class Members shall release Defendant from all claims asserted in the operative complaints and any claims that could have been asserted based on the facts alleged therein, including claims for failure to provide compliant meal and rest periods; failure to reimburse employees for all necessary business expenses; failure to pay for all hours worked; improper calculation of the regular rate of pay for purposes of overtime, sick pay, and meal period premiums; failure to pay minimum wages and overtime wages; failure to provide accurate itemized wage statements; failure to pay wages when due; and violations of Business and Professions Code section 17200. This stipulation to certification is for settlement purposes only and shall not be deemed admissible in this or any other proceeding should this Settlement not become final.

A Final Approval Hearing shall be held to determine whether the Settlement, Class Counsel's fee application, and the Class Representative service awards should be finally approved as fair, reasonable, and adequate. Class Members may participate in the Settlement, submit requests for exclusion, or file objections as provided in the Notice of Settlement. Pending final approval, Plaintiffs request that the Court enjoin Class Members from prosecuting any released claims, unless they have submitted valid requests for exclusion.

Analysis

The primary determination is whether the proposed settlement is "fair, reasonable, and adequate" under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801. The factors include "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also, *Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521.)

California law provides guidance concerning judicial approval of class action settlements. First, public policy favors settlement (*Neary v. Regents of Univ. of Cal*. (1992) 3 Cal.4th 273), but the court must not approve an agreement contrary to law or public policy (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127). Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*Cal. State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) Consequently, courts have noted that *Neary* does not apply where public rights are implicated, because “w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose."

(*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

<u>Attorneys' Fees</u>
Plaintiffs seek attorneys' fees of $1,016,666.67 representing one-third of the total settlement amount, relying on the common fund doctrine. Even under the common fund theory, however, the fee award should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the *Lodestar* cross-check as a method to determine whether the percentage allocated is reasonable. The Court stated: "If the multiplier calculated by means of a *Lodestar* cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (Id. at p. 505.) Following typical practice, however, the Court will not consider the fee award at this preliminary approval stage, but reserves review for final approval.

Similarly, litigation costs in the amount of $45,000.00 and the requested service payment of $10,000.00 for each named plaintiff and class representative will be reviewed at the time of final approval. Criteria for evaluating representative payment requests are discussed in *Clark v. American Residential Services, LLC* (2009) 175 Cal.App.4th 785, 804-807.

The Settlement appears to be fair, adequate, and reasonable to the Class and falls within the range of reasonableness, subject only to objections that may be raised at the Final Approval Hearing. Good cause appearing, the Court makes the following orders and ruling.

<u>Ruling</u>

1. The settlement is sufficiently fair, reasonable, and adequate to justify preliminary approval. The motion is **<u>granted</u>**.
2. Counsel are directed to prepare an order reflecting this ruling, the other findings in the previously submitted proposed order lodged October 6, 2025, attaching a copy of this ruling.
3. Counsel are ordered to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are ordered to submit a compliance statement one week before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384, subdivision (b).
4. Notwithstanding any contrary provision in the settlement agreement, 5% of the attorneys' fees are to be withheld by the administrator until released by the Court after review of the compliance statement.
5. The Court may issue a release of attorneys' fees through an unreported minute order without hearing upon review of the compliance statement representing full compliance with the Court's Final Order Approving Settlement.
6. No appearance is required at the hearing on July 15, 2026.